Stocks Basics

A stock (also called a share) is a small slice of ownership in a company. If a company is divided into a million shares and you own one, you own one-millionth of it.

How people can make money from stocks
- **Price increase:** if you sell a share for more than you paid, the difference is a gain. If it falls, you can lose money.
- **Dividends:** some companies pay part of their profits to shareholders, usually on a regular schedule. Not all companies do, and they can change or stop payments.

Where stocks are traded
Shares trade on stock exchanges. Each company has a short code called a ticker symbol (for example, AAPL for Apple). Prices move throughout the trading day as buyers and sellers agree on prices.

Main risks
- **Volatility:** prices can rise and fall sharply, sometimes for reasons unrelated to how the company is really doing.
- **Company risk:** a single company can struggle or fail. If a company goes bankrupt, shareholders are paid after lenders, and may receive nothing.
- **Concentration:** holding only one or two stocks makes your results depend heavily on those companies.

Many people spread their money across many companies, often through funds, to reduce company-specific risk. That idea is called diversification.

This article is general education, not advice about what you personally should do.